

Economic growth

It is the economy's most powerful engine for generating long-term increase in the standard of living.

Causes of actual growth: The major determinants of actual growth in the short-run are the changes in the components of aggregate demand. If AD increases with the given AS of goods and services, it will create shortages and producers will respond by increasing the prices and output of goods and services. Some of the ways in which AD can increase are:

1. A fall in the rate of interest which will encourage consumption and investments in the economy. A fall in rate of interest will reduce the cost of borrowing. So people will borrow more to buy more of the consumer durable goods through hire purchase and leasing. On the other hand producer will borrow more to buy capital goods. Since consumption and investment are part of AD, it will cause AD to increase.
2. A decrease in direct taxes will lead to an increase in the disposable income so people will be able to buy more goods and services causing AD to increase. Similarly a decrease in the corporation tax rate will leave firms with greater after tax profits thereby encouraging them to invest more.
3. An increase in government expenditure, which is called expansionary fiscal policy, will lead to an increase in AD. Furthermore people will receive greater income and they will demand more than before causing AD to rise further.
4. Government provision of subsidies on capital goods will also leads to an increase in the demand for investment like machines and tools.

Some of the **causes of potential growth** are:

1. An increase in the quantities of natural resources as a result of discovery of new resources will increase the potential of the economy.
2. An increase in the size of the labor force may be because of high birth rate. Net immigration from abroad, increasing the retirement age or decreasing the school learning age, will lead to an increase in amount of resources causing potential growth in the economy.
3. An improvement in technology leads to an increase in the productivity of the factors of production and they will be able to produce more than before i.e. the productive capacity of the economy increases.
4. Provision of education and training in the labor force will also lead to an increase in their productivity causing the potential growth in the economy.

Benefits of growth: Growth is the powerful weapon against poverty. It significantly improves the standard of living and quality of life. An increase in income can lead to major

Economic growth

changes in the pattern of consumption. The new products created by technological changes transform the ways of living. When there is economic growth, output and income level in the economy increases. This increased income will raise greater tax revenue for the government which can be used for further development of the economy. This will help in reducing income inequalities in the country.

Costs of economic growth: Growth requires heavy investment of resources in capital goods. Though it promises more goods and services tomorrow, it is achieved by consuming fewer goods today. For an economy as a whole this sacrifices current consumption which is the primary cost of growth. Growth creates new jobs and destroys some old jobs. The reason is that economic growth requires newer and better skills than before so those who do not catch up will find their skills out dated. In this case these people will not be required anymore and they may get unemployed. Faster rates of economic growth may lead to rapid increase in the price of goods and services i.e. the inflation rate may increase. Faster rates of economic growth leads to depletion of natural resources at a rapid rate and also increase the level of pollution in the environment.

Should or should not the resources be extracted: Resources of an economy can be used to fulfill the wants of people. Output of goods and services increase the material well-being of people i.e. their standard of living improves. Countries exploit their resources to build industrial and social infrastructure and achieve economic growth and development. They are used to increase the GDP of the country, export increase, BOP improves and so on. As these resources are exploited they deplete over time i.e. their quantities reduce and lesser resources will be available for future use.

These resources are categorized as renewable and non-renewable. Renewable are those which can be created again e.g. forests and non-renewable are those which cannot be created again once they are exhausted e.g. oil reserves. Renewable resources must be exploited in such a way that the rate of depletion must match the rate of their creation. Non-renewable resources must be used efficiently and less wastefully. Efforts must be made for the discovery of new resources. These resources must be conserved where possible.

Exploitation of these resources creates negative externalities such as air pollution, noise pollution and emission of some deadly fumes. The effects of these negative externalities must be taken in to consideration before exploiting them. Also the extraction of these resources leads to heavy cost of exploitation. If the costs of taking out resources exceed

Economic growth

the benefits of these resources to the society then these resources must not be exploited.

How to achieve economic growth?

- **Discovery of more natural resources:** The discovery of gas and oil has given a number of countries the ability to increase their total output. Indeed, the discovery of more natural resource, like coal, gold or even new varieties of fruit or cereals, would help any economy to increase output. Searching for new natural resources, however, cost a lot of money. Some countries, particularly those in the less developed world, often do not have enough money to do this.
- **Investment in capital:** Investment, or the production of new capital equipment, that is, tools, machinery and factories, is often said to be the key to growth. People can produce much more if they have the tools and machines to help them and buildings to make things in. Investment can come from private sector firms and the government.
- **Technical progress:** New inventions, better production techniques that produce more efficiently, better organization and management of firms, better training, better transport and communications all come under the banner of technical progress.
- **Increasing the amount and quality of human resources:** Education and training are often called investments in human capital. A more skilled and knowledgeable workforce, able to produce more and better goods and services, will result from better education and training.
Improving health care and medicines can improve the health of the workforce in a country and help them to have fewer days off sick. As a result, a healthier workforce is a more productive workforce able to raise output.
- **A reallocation of resources:** As a country develops, resources tend to move out of primary production and into manufacturing and services where large increases in output have occurred. This has led to economic growth.
- **Fiscal policy** (tax decrease, government expenditure increase)
- **Monetary policy** (interest rate decrease or money supply increase)
- **Supply side policy** (tax and subsidy incentives, educational and training reforms, competition policy, removing international trade barriers, deregulation, privatization)

Economic growth

Conflicts of economic growth with other macroeconomic objectives

1. Growth and price stability

When government tries to achieve economic growth for e.g. reducing tax or increasing government expenditure or reducing interest rate, all these will result in inflation in the long run.

Reducing tax rate will increase disposable income of the individuals thus increasing the consumption which will increase aggregate demand and in the long run prices will start to raise i.e. inflation.

Reducing interest rate increasing consumption and investment, there will be growth in the short run but in the long run, there will be inflation.

2. Growth and BOP stability

Growth brings income to all i.e. increasing their purchasing power which encourages them to import more rather than consuming domestic goods, this will result in more currency flowing out of the economy than coming in to the economy.

Define recession: It is when real output and national income may grow more slowly than usual it may even shrink or experience negative growth i.e. the down swing in the business cycle. Falling total demand and unemployment rises can eventually result in a recession.